

DEBT & EQUITY

Elmrod's \$72M LIC Construction Loan Shows Debt Is Available Only Where the Basis Works

The financing reveals that construction debt is flowing to sponsors with low land basis and credible execution plans.

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A source-grounded Light Tower Insight.

The most revealing number in the Vernon Point financing is not the \$72.3 million loan. It is the \$28 million land price.

Elmrod Management paid \$28 million for a 142,697-square-foot development site in Hunters Point, Long Island City. That works out to roughly \$196 per buildable square foot before hard costs. In a submarket where new-construction rents have pushed past \$70 per square foot and stabilized assets trade at cap rates in the mid-4s, that land basis gives the sponsor something increasingly rare in New York City development: a margin of error.

BridgeCity Capital, a private lender, provided \$72.3 million in acquisition and construction financing. The structure combines land acquisition debt with construction draws, which means the lender is underwriting both the site control and the vertical execution in a single facility. That is a vote of confidence in the sponsor, the basis, and the submarket simultaneously.

Construction debt has not returned broadly. It has returned selectively, and the selection criteria are becoming visible. Lenders are not financing aspirational basis. They are financing deals where the land cost is low enough that a modest rent shortfall or a six-month construction delay does not blow through the equity cushion.

Elmrod Management is not a household name in the way that Related or TF Cornerstone is. But the firm has a track record in Long Island City. It is developing Paragon LIC two blocks south, a 23-story residential building designed by the same architect, Archimaera. That project is under construction. That matters. A lender can verify that this sponsor knows how to build in this submarket, with this architect, under current conditions.

The project itself is 161 units over 16 stories with lower-level commercial space. The rendering shows a triple-height ground floor clad in dark material with floor-to-ceiling glass, a lighter gray facade above, and balconies on multiple levels. The design is not cheap. But the land basis means the total capital stack can absorb the design cost without requiring peak-cycle rents to

This is the underwriting condition that separates an investable deal from an attractive story. An attractive story has a great location, a strong design, and a credible sponsor. An investable deal has all of that plus a land basis that lets the equity survive a downturn. BridgeCity Capital is betting that Elmrod's \$196-per-foot land cost provides that survival margin.

The nearest subway access is the E and F trains at Court Square, with connections to the G and 7 trains. That transit access supports the rent premium that new construction demands. But the financing decision was not made on transit access alone. It was made on the arithmetic of the total capital stack.

Private credit is filling a gap that bank construction lending has left open. Regional banks, which historically dominated New York City construction lending, have pulled back sharply. Their cost of funds is higher, their regulatory scrutiny is tighter, and their appetite for construction risk is lower. Private lenders like BridgeCity Capital have stepped in, but they are underwriting differently. They are not lending against pro-forma rents at stabilization. They are lending against the sponsor's equity, the land basis, and the demonstrated ability to execute.

The seller of the site is undisclosed. That is common in development site transactions where the seller may have held the property for decades at a low basis and prefers anonymity. The \$28 million price suggests the seller captured a meaningful gain from the prior industrial use, but not so much that the buyer inherited a basis that requires heroic rent growth.

For owners and developers watching the construction lending market, the Vernon Point financing offers a clear signal. Debt is available, but only where the arithmetic works at today's rents, not at tomorrow's. The lender is not underwriting optionality. It is underwriting a specific project with a specific sponsor at a specific basis.

The question the market should test next is how far this underwriting discipline extends. Will private lenders finance a project where the land basis is \$300 per foot? Will they finance a

first-time developer in a submarket they know? The answer will determine whether the construction lending recovery is narrow or broad.

For now, the recovery is narrow. It is concentrated in projects where the sponsor has a track record, the basis is defensible, and the lender can see a path to completion without requiring a rent boom. Vernon Point fits that profile. The next deal may not.